AOP 2027 detailed prioritisation approach

Decision paper for CIO, IT Leadership Team, Finance, BU and EW leadership

Decision required: confirm the Total AOP envelope and the visible reservation settings before BU and EW conferences. Use the Protect commitments scenario as the starting position, subject to leadership confirmation.

Executive overview

Where we are. The authoritative demand file contains **279.6 M€** across **509** demand rows. Enterprise-wide demand is **111.7 M€** and BU-led demand is **167.9 M€**. The source does not provide an approved Total AOP envelope.

Why this is needed. The portfolio requires one controlled method to protect legal and regulatory obligations, reserve explicit Sustain Engineering and Hygiene demand, test Carryover evidence, and rank the remaining discretionary pool. Without that sequence, similarly named initiatives can receive inconsistent treatment and conference choices cannot be reconciled to one budget position.

What we are doing. The model uses five mutually exclusive decision stages: LFR, Sustain Engineering, Hygiene, Carryover, and Value Based Portfolio. Each demand row receives one primary stage and one allocation outcome. BU and EW conference decisions add to the prioritised view and retain an explicit reason.

How we are approaching it. Reserve the first four stages in order, allocate the remaining AOP capacity to the Value Based Portfolio, rank whole initiatives using the merit score, and show funded, unfunded, and evidence-missing views. Finalise freezes the selected scenario. Refresh creates a new version from the authoritative workbook.

Confirmed facts

Measure	Confirmed source position	Management relevance
Total demand	279.6 M€ across 509 rows	Provides the complete demand baseline.
Enterprise-wide	111.7 M€	Reporting view, not a separate funding stage.
BU-led	167.9 M€	Reporting view, with conference decisions recorded on top.
Approved AOP envelope	Not provided in the source	Leadership and Finance must confirm the planning envelope.

Recommendation

Adopt the five-stage model as the single conference baseline. Confirm the visible funding levers and planning envelope before any portfolio inclusion or exclusion decisions are finalised.

Rounding convention: every displayed number is rounded upward to the next 0.1. Calculations retain source precision. Independently rounded displayed subtotals may not add exactly to a displayed total.

Demand baseline and decision definitions

The source file records requested 2027 investment. It is the demand picture used for prioritisation, not an approved AOP budget.

Demand baseline

Term	Plain-language meaning	Confirmed source position
Demand baseline	Every investment request submitted for 2027. It shows what teams ask for before a budget decision is made.	279.6 M€ across 509 rows.
Enterprise-wide demand	Requests led centrally for the company. It is a reporting view, not a separate budget.	111.7 M€
BU-led demand	Requests led by a business unit. It is a reporting view, not a separate budget.	167.9 M€
Total AOP envelope	The amount leadership decides can be funded. The demand file does not state it.	To be confirmed by Finance and CIO / ITLT.

Decision band coverage

Term	Plain-language meaning	Rows / demand
Healthy	The request has no recorded condition that prevents it from competing for funding.	215 / 124.5 M€
Contain	The request can compete, but the recorded condition must be addressed in the funding rationale.	14 / 4.0 M€
Blank or unassessed	No decision band was recorded. The request remains visible and is not assumed to be Healthy.	280 / 151.2 M€

Overall AOP decision coverage

Term	Plain-language meaning	Rows / demand
Healthy - rank	A normal request that can be ranked against other eligible demand.	183 / 108.2 M€
Must-do P1	Immediate work that enters the LFR stage first.	30 / 15.5 M€
Must-do P2	Scheduled work that enters the LFR stage after P1.	3 / 1.1 M€
Contain	A request that can proceed only with the recorded condition reflected in the decision.	12 / 3.3 M€
Priority TBD or blank	The request needs a decision. It is visible but receives no inferred favourable treatment.	281 / 151.7 M€

Management interpretation

Decision evidence is incomplete for 280 rows. The model keeps these rows visible but does not convert missing evidence into a favourable decision. This protects traceability and makes the evidence gap explicit during leadership challenge.

Funding order and visible levers

Apply the five stages in a fixed order. Earlier stages consume capacity before later stages. Each request can receive only one primary stage.

Order	Stage	Included demand	Visible control	Allocation rule
1	LFR	P1, P2 and three approved exceptions	% of bucket demand or % of Total AOP	P1 first, P2 second, then exceptions.
2	Sustain Engineering	Exact Change & Sustain source classification	% of bucket demand or % of Total AOP	Whole initiatives in merit order. No cost-based inclusion.
3	Hygiene	Continuous Improvement, Upgrades & Enhancements	% of bucket demand or % of Total AOP	Whole initiatives in merit order.
4	Carryover	Remaining carryover rows with numeric benefits	Benefit / request threshold from 1x to 5x+ in 0.5x steps	Default 2x. Rank by benefit multiple, then merit.
5	Value Based Portfolio	All remaining rows with numeric benefits, including Decomm/Replatforming	Receives remaining AOP automatically	Rank by merit. AI remains here unless an earlier rule applies.

Allocation integrity

Rule	Required model behaviour
Whole initiatives	Select whole initiatives in priority order. Do not split or proportionally fund a request.
Tolerance	Default 5% automatic tolerance permits the next whole initiative when it fits the configured target plus tolerance.
Evidence missing	Keep the row visible as Evidence missing / not eligible when quantified benefits or required decision evidence are absent.
Conference choices	BU and EW inclusion or exclusion sits on top of the automatic prioritised view and requires a rationale.
Budget variance	Allow conference inclusions to remain above budget. Show the visible variance rather than blocking finalisation.
Version control	Finalise freezes source hash, settings, decisions, budget and variance. Refresh creates a new version.

LFR composition

The LFR baseline is **34.6 M€**. It contains source P1 and P2 decisions of **16.6 M€** plus Group Functions **7.7 M€**, Supply Chain **4.2 M€**, and Finance **6.3 M€**. These three exceptions do not remain in Sustain Engineering.

Hygiene and Decomm/Replatforming

Hygiene now contains Continuous Improvement and Upgrades & Enhancements only. Decomm/Replatforming is treated as Value Based Portfolio demand and must meet the same evidence and merit rules as other value-based requests.

Merit score framework

Merit determines order within discretionary competition. It remains an advanced configuration, not a primary funding lever.

Dimension	Maximum	Scoring rule	Evidence source
Submitted benefit / requested investment	50	Below 1x or missing: 0; 1x to below 2x: 20; 2x to below 3x: 30; 3x to below 5x: 40; 5x+: 50.	Quantified Benefits and 2027 requested investment.
Submitted priority	25	Must Do: 25; Must Have: 18; Deprioritised: 5; blank or unrecognised: 0.	Submitted priority field.
Captured Consequence	15	No evidence: 0; general consequence: 5; named activity and harm: 10; quantified impact or company-wide reach: 15.	Impact and Cost of Not Doing, Problem Statement and Scope only.
Decision band	10	Healthy: 10; Contain: 6; blank or other: 0.	Source Decision band.

What the merit dimensions mean

Dimension	Plain-language meaning
Benefit / request	The submitted lifetime benefit compared with the 2027 investment requested. It indicates the scale of the value claim.
Submitted priority	The sponsor's stated urgency. It informs ranking but does not on its own make work mandatory.
Captured Consequence	What the source says will happen if the work does not proceed, using only the three recorded evidence fields.
Decision band	The recorded condition attached to the request. Healthy scores higher than Contain; a blank does not earn points.

Advanced configuration

The default Minimum Merit Score is 45. It excludes weak Value Based Portfolio demand and does not gate Carryover. The four weights remain configurable in Advanced settings, but they should not appear as primary business levers.

Claims above 5x require review before benefit-led automatic allocation. Submitted benefits remain evidence claims and do not become approved cash flows through the score.

Traceability requirement

Retain the exact supporting text, source sheet, source row, Item No., Planisware ID, raw requested amount, quantified benefit value, decision fields, score components, rank and funding rationale for every demand row.

User flow from demand refresh to final AOP

The user moves from source evidence to a frozen, traceable portfolio decision. The model records each decision and keeps evidence gaps visible.

Step	User action	What the model does	Visible outcome
1. Refresh demand	Load the latest 15926 IT AOP2027 Demand file.	Creates a new version and retains the source hash and row references.	Current demand baseline and data-quality exceptions.
2. Check evidence	Review blank decisions, missing benefits and temporary Item Nos.	Keeps incomplete requests visible. It does not create a favourable score or decision.	Evidence missing / not eligible status where required.
3. Set funding position	Enter Total AOP and select the basis and percentage for LFR, Sustain Engineering and Hygiene. Set the Carryover threshold.	Calculates each reserved stage in the agreed order. Value Based Portfolio receives the remaining AOP automatically.	One live budget position and visible stage targets.
4. Run allocation	Apply the selected settings.	Funds whole initiatives in sequence, allowing the configured 5% tolerance and recording any variance.	Funded, unfunded and over-budget views.
5. Review value demand	Use merit to review Value Based Portfolio demand, including Decomm/Replatforming.	Ranks eligible requests using the four merit dimensions. It does not override missing evidence.	A clear rationale for each automatic allocation.
6. Hold BU and EW co nferences	Select or deselect whole initiatives and record the reason.	Adds the conference choice to the prioritised view and recalculates the variance.	BU-led and EW views with inclusion, exclusion and rationale.
7. Finalise	Confirm the portfolio, accepted variance and exceptions.	Freezes the source hash, settings, decisions, budget and funding rationale.	A final AOP version that can be traced back to the source file.

How the flow protects the decision

The process separates source evidence, funding settings, automatic ranking and conference choices. A blank field remains a blank field. A manual inclusion is recorded as a decision with a visible impact on the Total AOP variance. Refresh does not overwrite a frozen scenario; it starts a new version for review.

Final AOP checkpoint

Before finalising, Finance confirms the approved Total AOP and basis, CIO / ITLT confirms the funding settings, and BU and EW leaders confirm their conference choices. IT Portfolio / PMO reconciles totals and retains the source link for every request.

Simplified scenarios for leadership comparison

The scenarios below use a 100.0 M€ illustrative planning envelope because the authoritative demand file does not contain an approved Total AOP. Leadership must replace this input with the confirmed envelope.

Scenario	Definition	Selected	Variance	Initiatives	Use
1. Protect commitments	LFR 100% of bucket; Sustain Engineering 100% of bucket; Hygiene 10% of AOP; Carryover 2x.	105.0 M€	5.0 M€ over	153	Recommended conference baseline.
2. Evidence controlled	Same reservations; Carryover threshold rises to 3x; advanced merit gate stays 45.	105.0 M€	5.0 M€ over	158	Tests stronger Carryover benefit evidence.
3. Capacity managed	LFR 100%; Sustain Engineering 75% of bucket; Hygiene 10% of AOP; Carryover 2x.	105.0 M€	5.0 M€ over	152	Tests partial Sustain Engineering coverage.

Scenario 1 stage allocation

Stage	Selected	Funded initiatives	Interpretation
LFR	34.6 M€	36	Full LFR reservation.
Sustain Engineering	12.4 M€	15	Full eligible Sustain Engineering demand.
Hygiene	10.5 M€	35	10% of AOP target, with whole-initiative tolerance.
Carryover	20.9 M€	22	Eligible at 2x benefit/request threshold.
Value Based Portfolio	26.8 M€	45	Receives remaining eligible capacity by merit rank.

Management interpretation

Scenario 1 uses the current default configuration and protects the explicit obligation and Sustain Engineering positions. Its automatic whole-initiative selection reaches 105.0 M€, which is 5.0 M€ above the illustrative envelope but within the 5% automatic tolerance. Scenario 2 improves Carryover evidence quality. Scenario 3 creates headroom by reducing Sustain Engineering coverage and therefore requires a clear business trade-off.

All scenario values use the same normalized source records and deterministic calculation engine. No conference overrides are included.